



investment decision, he has some sense of the tax outflow. Now you don't know where the ball is coming from...

A: The stability versus the simplicity argument. I have announced in the Budget that for the next six months, there will be a committee looking into simplifying direct taxation... **There is no scope in the name of stability even to respond to the requirement of making your tax system simple. At some point in time, we'll have to change it or not, or in the name of stability never change it, even if it is complex? It can't be that way....** [It is not a perfect example, but] when GST was brought in, rates existed [with] different rates in different states. All officers sat together over several sessions to understand how in some state that had a rate of say 8-11%, what GST rate will be nearest to it. And the thumb rule was we don't want additional revenue, but the taxpayer should not be paying a higher rate. So, you try to rationalise it by understanding that it shall be revenue neutral. Any movement from one rate to another then was based on that principle. The revenue neutrality principle was broadly used even now... 20% can come down to 12.5; 10% went up to 12.5% for the stocks, with rationalisation on an average over several years, we calculated and took very many different examples. And after that this 12.5% was arrived at. And after the Budget, CBDT has been releasing notes and frequently asked questions on why this rate was decided. It was not with the revenue

consideration in my mind. [It was] clearly to simplify and clearly to rationalise.

SOURAV MAJUMDAR: Let's come back to F&O. The Sebi Chairperson recently said it is no longer an investor-related problem, it is becoming a systemic risk. With your Budget, you've given a nudge to the investor saying that there is a risk here and you have also attempted to get revenue out of that. Are you worried that this is becoming a bit of a bubble?

A: Well, I strongly believe Sebi is very well equipped to take care of that. They have been very clear that the regulation will only be a soft touch regulation. And before they frame any kind of a rule or a measure to control anything, they would have consultations with stakeholders prior to even drafting their regulations... that should be sufficient. What we've done is because of the kind of requests that came, a little nudge... and that's why the rates are not really all that high... And somebody was telling me, 'But it hasn't helped. So why did you have to bring it?' I said, 'Why didn't it help? Look at the way stock market is today.' So I'm not going by any of these comments. But the Sebi is fully vested to take care of it.

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SZ: In the Economic Survey, the Chief Economic Advisor has suggested that food prices be excluded from the calculation of the interest rate in a country like India. Do you think this should be considered?

A: The Economic Survey, although it is from the Department of Economic Affairs, the Chief Economic Advisor prepares it, [and] we maintain an arm's length from it. So, it is not necessarily the ministry's voice; it is the CEA's voice. And on that specific question, I think it is a subject worthy of discussion. It is not as if I can take a call on it straightaway... no one can take a call on it. Because these are issues where a lot more thought has to be given.

SM: One of the plus points of this Budget was the accelerated fiscal deficit target, which you said was 4.9%, when the expectation was a little higher. How much has the RBI dividend this year helped? Since you've stuck to the fiscal consolidation path, are you hopeful that the RBI will take a cue when the MPC meets the next time?

A: I wouldn't be able to answer that. That's obviously for RBI to take a call. **But dividend or no dividend, haven't we shown our commitment in keeping the**